

MID-AMERICA APT CMNTYS INC MAA

July 14, 2026 - 4:38pm EST

by [nassau799](#)

			2026	2027
Price:	133.68	EPS	0	0
Shares Out. (in M):	119	P/E	0	0
Market Cap (in \$M):	15,908	P/FCF	0	0
Net Debt (in \$M):	5,584	EBIT	0	0
TEV (in \$M):	21,492	TEV/EBIT	0	0

Description

Thesis:

MAA is a leading sunbelt focused apartment REIT with a lengthy and successful track record. After tremendous outperformance in the wake of COVID, the stock came down sharply and has basically gone nowhere for 3 years. Now trading at roughly a 6.5% cap rate, it is at a meaningful discount to a conservative asset value. What has been a glut of new construction is being absorbed in most of its served markets and a falloff of supply is certain in the next couple of years and very likely beyond. Hence, same-store NOI—the most important single metric—should turn positive in the next 2-3 quarters. From 2011-2015, a period of low supply growth in its markets, MAA grew same-store NOI at 5.7% annually (versus a 3% average from 2000-2025). History may not repeat but it rhymes.

Valuation:

Using a 5.5% cap rate, which I think is quite conservative in the current market, yields an NAV of \$168/share. Note: in the calculation I give MAA credit for properties under development: \$388MM as of 3/31. Given its size, geographic diversity, long-term record and financial conservatism I think this is a sufficient discount to get interested. Management is also: Beginning in the 4th quarter and through May, the company has bought back \$100MM in stock—a departure from the norm. Here is CEO Brad Hill on the Q1:26 earnings call:

And I'd say what's unique right now versus historical times is that we're trading at a sizable discount persistently. We really have not done that if you go back and look at our history in a long, long time, hence, why we haven't repurchased shares since 2001. So it's not a position that we have found ourselves in historically and certainly think it's unique given the supply pressures that we are under right now that are dissipating.

Portfolio and Strategy:

Approximately half of MAA's operating income comes from 6 markets: Atlanta, Dallas, Orlando, Tampa, Charlotte and Austin. Currently the first three are performing better than the overall company while Charlotte and Austin are struggling. In addition to major markets MAA also has exposure (about 25% of total NOI) in mid-size cities like Charleston and Richmond. In all the company owns about 105,000 units.

Over the years MAA has grown through two large mergers (Colonial in 2013 and Post in 2016), property acquisitions, and development. MAA has also culled its portfolio, primarily focused on older complexes. From 2021 to now, MAA spent \$2.1 billion between acquisitions and development and garnered \$900MM from dispositions. Management tries to have a development pipeline totalling about \$1 billion that can be exploited over a 2-3 year period and asserts that stabilized development yields are 6.0-6.5%.

Market Dynamics: An Inflection Point:

As I wrote almost exactly a year ago in a VIC pitch on Camden Properties (a very similar company), I thought the turn would happen sooner. And admittedly, there is no tangible sign of an imminent recovery. Barring a recession, though, it seems as if all the elements are in place for a better year in 2027 and, very possibly, a string of excellent years comparable to the time after the GFC. Job growth, lower cost of living, better (or no) state taxes, and climate all support a continuation of in-migration to MAA's markets. Yes, rents are higher than they were several years ago, but they have not increased (on average) in the last 2-3 years. Hence, affordability is better and the typical MAA renter is spending less of her income. Meanwhile, the cost of home ownership has risen

dramatically. No surprise, then, that a smaller percentage of MAA renters leaving are going to homes that they purchased.

Return Potential:

Given my outlook for outsized NOI growth beginning next year, I think a 10-12% total return is very possible over the next 3-5 years. In a market where Sandisk goes up (or down) 10-12% in a day that doesn't seem very exciting, but on a risk-adjusted basis I would be very happy with that.

Note: Slim recently pitched Camden. I think it is a good report (FWIW I still own the stock) and would read it for more perspective on sunbelt apartment REITs.

Corporate Presentation:

https://s1.q4cdn.com/498755859/files/doc_presentations/2026/Jun/01/NAREIT-JUN-2026-FINAL.pdf

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Catalyst

Same store NOI turns positive

Messages

Subject Cap rates
Entry 07/14/2026 05:06 PM
Member jgalt

I know that for people who invest in these things it seems "obvious" that a 5.5% cap rate is cheap, but for those of us who don't, can you explain WHY it's cheap?

Is there data you can point to that shows where these things have traded in the past on a cap rate basis relative to the 10Y or whatever you feel is the appropriate benchmark?

Subject Re: Cap rates
Entry 07/14/2026 06:30 PM
Member nassau799

I don't believe I suggested that a 5.5% cap rate was cheap. I do think it is at the high end of what a sophisticated buyer would pay for the entire company and that one could argue for a lower cap rate as fair value. I do think that a 6.5% cap rate—where MAA trades today—is very good value and possibly cheap. Keep in mind that a private buyer of these assets would almost certainly use more leverage.

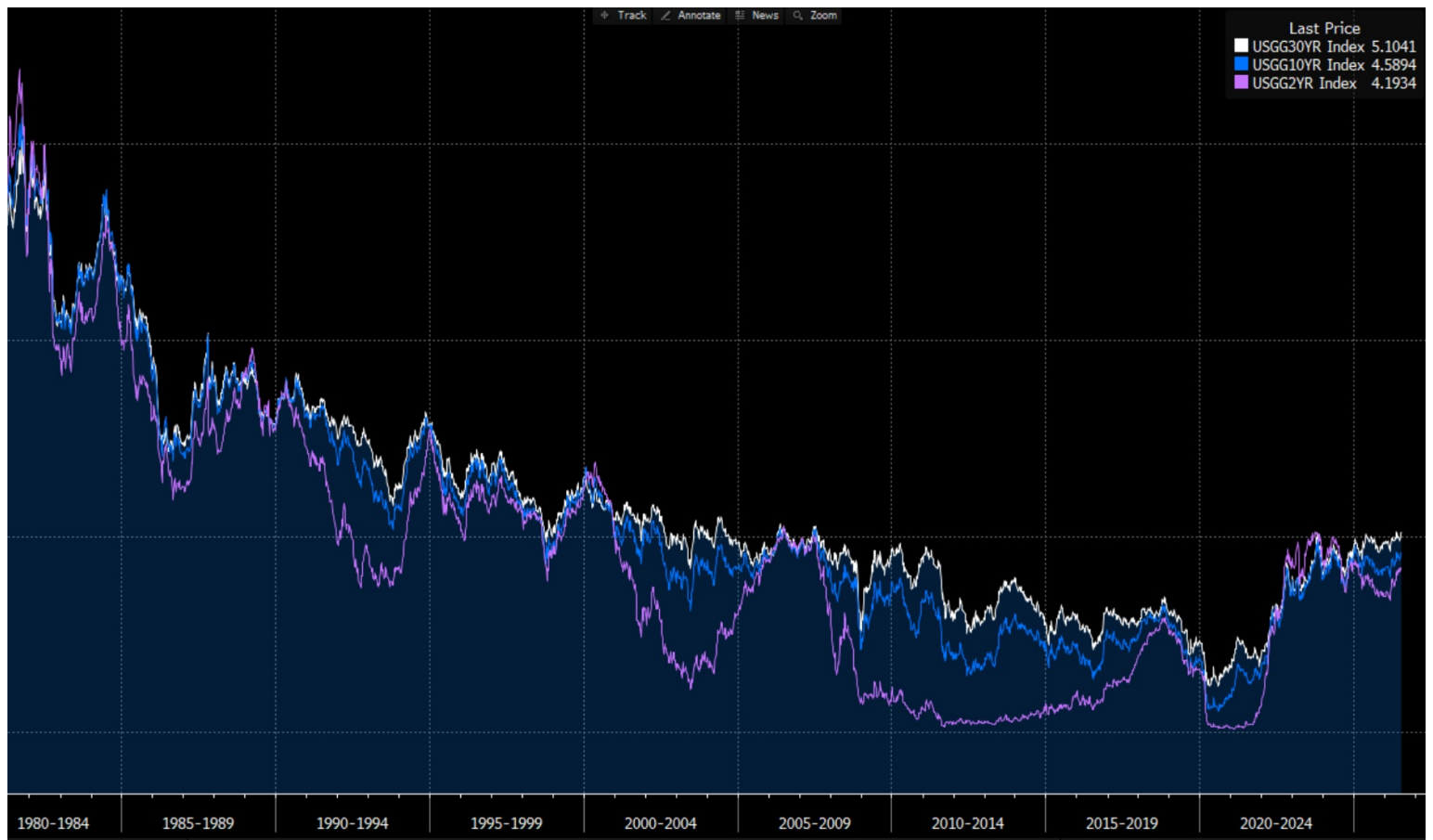
I will try to find some data for you on relative multiples. A CBRE market survey shows that multifamily cap rates have averaged around 5% over the past 3 years or so—obviously there can be huge variances based on geography, building quality, etc.

Subject Interest rates
Entry 07/14/2026 08:02 PM
Member abra399

Here's the 2, 10 and 30Y US Treasury since 2000 and, for a longer time horizon, since 1980.

How do interest rates affect how you think about realty values & the appropriate cap rate to use?





Subject
 Entry
 Member

Re: Interest rates
 07/15/2026 02:26 PM
 nassau799

Of course cap rates should be somewhat sensitive to interest rates. I think market multiples should be also. The 10 year has not moved all that much for four years.